Failure and Opinion Decomposition: Matched Weighted

Actual failure / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.080**	-0.037**	-0.067	-0.093**
	(0.033)	(0.016)	(0.048)	(0.040)
p	0.0151	0.0231	0.1656	0.0192
Observations	1,763	1,763	1,763	1,763

Actual failure / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.046	-0.084	-0.018
	(0.028)	(0.051)	(0.027)
p	0.1109	0.1010	0.5085
Observations	1,763	1,763	1,763

Unwarned failure / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.100***	-0.038**	-0.083**	-0.126***
	(0.029)	(0.016)	(0.041)	(0.035)
p	0.0006	0.0207	0.0440	0.0004
Observations	1,763	1,763	1,763	1,763

Unwarned failure / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.064**	-0.108**	-0.036
	(0.025)	(0.046)	(0.023)
p	0.0101	0.0186	0.1143
Observations	1,763	1,763	1,763

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.